

Asia Vital Components

Buy: 2Q26 margins another record highs; solid 2H26 guidance; lift PO to NT\$3,888

Reiterate Rating: BUY | PO: 3,888 TWD | Price: 2,910 TWD

2Q26 beat, with margins at another quarterly record high

Asia Vital Components (AVC) held 2Q26 physical and virtual meetings on 12 Aug. All its margins hit another quarterly record high, with GM/OPM of 32.6%/27.4%, above BofAe's 30.0%/24.2% and consensus' 31.0%/25.2%. OP (+12% QoQ, +165% YoY) was 11%/7% above BofAe/consensus, despite sales (flat QoQ, +66% YoY) missing BofAe/consensus both by 2%, dragged by supply-chain component hiccup. We attribute the beat mainly to stronger server margins and stringent cost control. Server/networking accounted for 66% of 2Q26 sales, vs 66%/51% in 1Q26/2Q25. With a non-operating gain of NT\$457mn, mainly from net interest income, NP was 18%/11% above consensus.

Better 2H vs 1H; new projects mass production in 3Q-4Q

Mgmt. expects QoQ sales growth in 3Q26 and better 2H26 vs 1H26, amid more server projects entering mass production. Our supply-chain checks suggest mass production for Nvidia Vera Rubin GPU server project will start from 3Q26 (Aug/Sep), and liquid-cooled ASIC (AWS Trainium 3) project in 4Q26. We now expect 3Q/4Q26 sales to rise 16%/19% QoQ and 47%/42% YoY. Into 2027, mgmt. sees rising orders/volume from GPU and ASIC server projects, and still expects ASIC sales mix to surpass GPU server mix. Mgmt. maintained 2026 capex guidance at NT\$15bn and sees an even higher level in 2027 (BofAe: NT\$17bn), mainly for capacity expansion in Vietnam for liquid-cooling products (eg. cold plate, rack/inner manifolds and CDUs).

Buy: lift PO to NT\$3,888; still our top cooling pick

We lift 2026-28E EPS by 7-11%, mainly to reflect 2Q26 beat and higher GM/OPM forecasts, supported by the solid AI server business and a favorable mix. We lift our PO to NT\$3,888 from NT\$3,650, with the valuation methodology unchanged at 27x 2027E EPS. We reiterate Buy on AVC as our top pick in the cooling sub-sector, which should benefit from robust GPU/ASIC AI server demand and rising liquid-cooling adoption. We also like its broad product/project/client base to drive solid sales and margin growth.

Estimates (Dec) (NT\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	8,172	19,186	40,952	56,186	69,746
EPS	21.21	49.17	104.95	143.99	178.74
EPS Change (YoY)	50.4%	131.8%	113.4%	37.2%	24.1%
Dividend / Share	7.00	18.00	31.48	43.20	53.62
Free Cash Flow / Share	13.22	82.39	52.25	100.03	155.69
Valuation (Dec)					
P/E	137.20x	59.18x	27.73x	20.21x	16.28x
Dividend Yield	0.241%	0.619%	1.08%	1.48%	1.84%
EV / EBITDA*	83.16x	35.87x	17.25x	12.46x	9.89x
Free Cash Flow Yield*	0.446%	2.81%	1.78%	3.42%	5.32%

* For full definitions of *IQmethod™* measures, see page 8.

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Refer to important disclosures on page 9 to 11. Analyst Certification on page 6. Price

12 August 2026

Equity

Key Changes

(NT\$)	Previous	Current
Price Obj.	3,650.00	3,888.00
2026E EPS	94.34	104.95
2027E EPS	135.19	143.99
2028E EPS	165.63	178.74
2026E EBITDA (m)	58,953.9	64,049.3
2027E EBITDA (m)	84,137.8	88,681.8
2028E EBITDA (m)	104,846.1	111,753.0

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Stock Data

Price	2,910 TWD
Price Objective	3,888 TWD
Date Established	12-Aug-2026
Investment Opinion	C-1-7
52-Week Range	916.00 TWD-3,010 TWD
Mrkt Val / Shares Out (mn)	35,380 USD / 392.5
Market Value (mn)	1,142,300 TWD
Average Daily Value (mn)	401.28 USD
Free Float	74.6%
BofA Ticker / Exchange	AVMPF / TAI
Bloomberg / Reuters	3017 TT / 3017.TW
ROE (2026E)	66.5%
Net Dbt to Eqty (Dec-2025A)	-69.8%

Acronyms, see Exhibit 8

iQprofileSM Asia Vital Components

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT\$ Millions)					
Sales	71,761	139,639	222,988	308,358	378,016
Gross Profit	16,870	36,034	71,963	100,631	125,453
Sell General & Admin Expense	(1,947)	(3,086)	(4,636)	(7,532)	(9,146)
Operating Profit	10,823	27,556	59,930	82,051	102,729
Net Interest & Other Income	1,529	1,231	809	875	875
Associates	NA	NA	NA	NA	NA
Pretax Income	12,352	28,786	60,739	82,926	103,604
Tax (expense) / Benefit	(3,159)	(7,836)	(16,697)	(23,020)	(28,758)
Net Income (Adjusted)	8,172	19,186	40,952	56,186	69,746
Average Fully Diluted Shares Outstanding	385	390	390	390	390

Key Cash Flow Statement Data

Net Income	8,172	19,186	40,952	56,186	69,746
Depreciation & Amortization	2,463	3,246	4,119	6,631	9,024
Change in Working Capital	(7,286)	(1,315)	(9,682)	(6,783)	(8,017)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	6,284	18,298	0	0	0
Cash Flow from Operations	9,632	39,415	35,390	56,034	70,752
Capital Expenditure	(4,540)	(7,267)	(15,000)	(17,000)	(10,000)
(Acquisition) / Disposal of Investments	(226)	217	0	0	0
Other Cash Inflow / (Outflow)	(2,904)	(6,286)	0	0	0
Cash Flow from Investing	(7,669)	(13,336)	(15,000)	(17,000)	(10,000)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(2,683)	(3,877)	(7,024)	(12,286)	(16,856)
Cash Flow from Financing	200	2,620	(7,024)	(12,286)	(16,856)
Free Cash Flow	5,092	32,148	20,390	39,034	60,752
Net Debt	(13,445)	(35,270)	(48,636)	(75,384)	(119,281)
Change in Net Debt	(2,967)	(28,606)	(13,366)	(26,748)	(43,896)

Key Balance Sheet Data

Property, Plant & Equipment	13,805	17,849	28,730	39,099	40,075
Other Non-Current Assets	10,008	16,111	16,111	16,111	16,111
Trade Receivables	7,767	12,133	19,053	24,159	30,958
Cash & Equivalents	29,924	58,530	71,896	98,644	142,541
Other Current Assets	38,402	55,514	71,005	92,275	112,829
Total Assets	99,906	160,137	206,794	270,289	342,514
Long-Term Debt	3,349	6,949	6,949	6,949	6,949
Other Non-Current Liabilities	4,796	5,128	5,128	5,128	5,128
Short-Term Debt	13,130	16,311	16,311	16,311	16,311
Other Current Liabilities	45,158	81,184	93,914	113,507	132,842
Total Liabilities	66,433	109,572	122,301	141,895	161,230
Total Equity	33,473	50,565	84,493	128,394	181,284
Total Equity & Liabilities	99,906	160,137	206,794	270,289	342,514

iQmethodSM - Bus Performance*

Return On Capital Employed	17.4%	30.8%	46.2%	44.6%	41.0%
Return On Equity	32.1%	52.2%	66.5%	55.9%	46.8%
Operating Margin	15.1%	19.7%	26.9%	26.6%	27.2%
EBITDA Margin	18.5%	22.1%	28.7%	28.8%	29.6%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	1.2x	2.1x	0.9x	1.0x	1.0x
Asset Replacement Ratio	1.9x	2.3x	3.6x	2.6x	1.1x
Tax Rate (Reported)	25.6%	27.2%	27.5%	27.8%	27.8%
Net Debt-to-Equity Ratio	-40.2%	-69.8%	-57.6%	-58.7%	-65.8%
Interest Cover	24.6x	45.5x	NM	NM	NM

Key Metrics

* For full definitions of iQmethodSM measures, see page 8.

Company Sector

IT Hardware

Company Description

AVC is the leading system-level thermal/cooling component maker globally. Key end markets include server, PC, smartphone. Key end clients include global CSPs, PC brands, smartphone brands. AVC was founded in 1991 and went publicly listed on Taiwan Stock Exchange on 27 Sep 2002. It is headquartered in Taiwan. Its main production sites are located in China (Shenzhen, Wuhan, Shanghai, Dongguan, Chengdu), with ongoing capacity expansion in Vietnam.

Investment Rationale

We assign a Buy rating to AVC given its leading position in thermal/cooling component and total solution strategy to ride on strong AI market demand, double-digit sales/EPS CAGR in 2026-28 with rising liquid cooling sales mix and ASP/margin increase.

Stock Data

Price to Book Value

14.5x



Exhibit 1: We lift 2026-28E EPS by 7-11%

Earnings revision summary, 2026-28

NT\$mnn	BofA 2026E			BofA 2027E			BofA 2028E		
	New	Old	Diff (%)	New	Old	Diff (%)	New	Old	Diff (%)
Sales	222,988	220,974	1%	308,358	303,367	2%	378,016	369,358	2%
Gross profit	71,963	67,629	6%	100,631	95,829	5%	125,453	118,237	6%
Operating profit	59,930	54,834	9%	82,051	77,507	6%	102,729	95,822	7%
Pretax profit	60,739	55,206	10%	82,926	78,032	6%	103,604	96,352	8%
Net income	40,952	36,814	11%	56,186	52,751	7%	69,746	64,631	8%
EPS (NT\$)	104.95	94.34	11%	143.99	135.19	7%	178.74	165.63	8%
Margin %									
Gross margin	32.3%	30.6%		32.6%	31.6%		33.2%	32.0%	
Operating margin	26.9%	24.8%		26.6%	25.5%		27.2%	25.9%	
Pre-tax margin	27.2%	25.0%		26.9%	25.7%		27.4%	26.1%	
Net margin	18.4%	16.7%		18.2%	17.4%		18.5%	17.5%	

Source: BofA Global Research estimates

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Exhibit 2: Our 2026-28 net income estimates are 1-8% above consensus

BofAe vs. consensus, 2026-28E

NT\$mnn	2026E			2027E			2028E		
	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)	BofAe	Consensus	Diff (%)
Sales	222,988	220,641	1%	308,358	301,388	2%	378,016	349,959	8%
Gross profit	71,963	68,224	5%	100,631	96,571	4%	125,453	106,699	18%
Operating profit	59,930	56,177	7%	82,051	81,486	1%	102,729	92,624	11%
Pretax profit	60,739	56,556	7%	82,926	81,946	1%	103,604	94,600	10%
Net income	40,952	37,994	8%	56,186	55,883	1%	69,746	65,587	6%
EPS (NT\$)	104.95	96.25	9%	143.99	141.22	2%	178.74	163.10	10%
Margin %									
Gross margin	32.3%	30.9%		32.6%	32.0%		33.2%	30.5%	
Operating margin	26.9%	25.5%		26.6%	27.0%		27.2%	26.5%	
Pre-tax margin	27.2%	25.6%		26.9%	27.2%		27.4%	27.0%	
Net margin	18.4%	17.2%		18.2%	18.5%		18.5%	18.7%	

Source: BofA Global Research estimates, Bloomberg consensus

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Exhibit 3: AVC's 2Q26 operating profit was 11%/7% above BofAe/consensus; net income was 18%/11% above BofAe/consensus

2Q26 results summary

NT\$mnn	2Q26	QoQ %	YoY %	BofAe	Diff (%)	Consensus	Diff (%)	1Q26	2Q25
Sales	49,121	0%	66%	50,073	-2%	50,258	-2%	49,038	29,595
Gross profit	15,999	10%	121%	15,036	6%	15,587	3%	14,597	7,224
Operating profit	13,478	12%	165%	12,131	11%	12,646	7%	12,019	5,095
Pretax profit	13,935	16%	136%	12,260	14%	12,948	8%	11,979	5,896
Net income	9,567	21%	139%	8,138	18%	8,656	11%	7,916	3,997
EPS (NT\$)	24.52	21%	139%	20.86	18%	21.80	12%	20.29	10.24
Margin %									
Gross margin	32.6%	2.8 ppt	8.2 ppt	30.0%	2.5 ppt	31.0%	1.6 ppt	29.8%	24.4%
Operating margin	27.4%	2.9 ppt	10.2 ppt	24.2%	3.2 ppt	25.2%	2.3 ppt	24.5%	17.2%
Pre-tax margin	28.4%	3.9 ppt	8.4 ppt	24.5%	3.9 ppt	25.8%	2.6 ppt	24.4%	19.9%
Net margin	19.5%	3.3 ppt	6.0 ppt	16.3%	3.2 ppt	17.2%	2.3 ppt	16.1%	13.5%

Source: BofA Global Research estimates, company data, Bloomberg consensus

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Exhibit 4: Fositek contributed 8%/9% of AVC's sales/net income in 2Q26, vs. 9%/12% in 1Q26 and 2-11%/2-18% in 2017-25

Fositek's sales/earnings contribution to AVC, 2017-2Q26

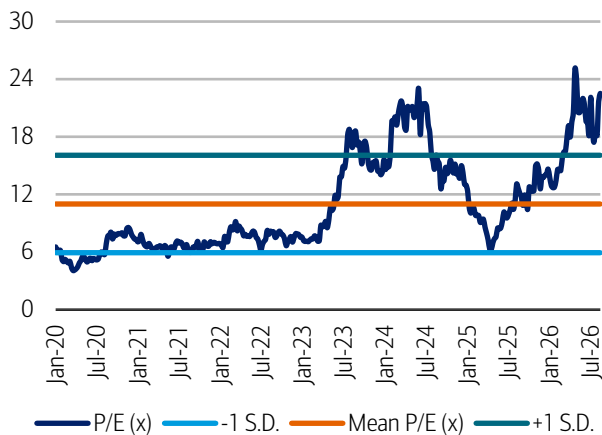
Contribution to AVC (%)	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26
Sales	3%	2%	2%	6%	11%	9%	10%	11%	9%	9%	8%
Gross profit	7%	5%	4%	9%	14%	11%	11%	11%	9%	9%	8%
Operating profit	8%	2%	1%	9%	17%	12%	12%	11%	9%	9%	8%
Pretax profit	7%	5%	2%	10%	16%	13%	11%	12%	9%	10%	8%
Net income	9%	3%	2%	11%	18%	14%	12%	15%	11%	12%	9%
Fositek (NT\$mn)											
Sales	813	692	865	2,223	5,020	5,014	5,644	8,188	12,414	4,184	3,740
Gross profit	231	181	174	582	1,193	1,166	1,318	1,827	3,270	1,352	1,273
Operating profit	95	15	17	289	809	775	881	1,197	2,524	1,120	1,043
Pretax profit	95	53	36	292	776	835	911	1,495	2,545	1,165	1,075
Net income	76	19	22	210	533	564	628	1,227	2,125	917	849
EPS (NT\$)	3.71	0.91	1.00	6.25	9.29	9.33	10.18	17.90	31.00	13.38	12.39
Margin %											
Gross margin	28.4%	26.1%	20.1%	26.2%	23.8%	23.3%	23.3%	22.3%	26.3%	32.3%	34.0%
Operating margin	11.7%	2.1%	2.0%	13.0%	16.1%	15.5%	15.6%	14.6%	20.3%	26.8%	27.9%
Pre-tax margin	11.6%	7.7%	4.1%	13.1%	15.5%	16.7%	16.1%	18.3%	20.5%	27.9%	28.8%
Net margin	9.4%	2.8%	2.5%	9.5%	10.6%	11.3%	11.1%	15.0%	17.1%	21.9%	22.7%
AVC (NT\$mn)											
Sales	27,109	29,067	36,534	39,666	47,333	56,017	59,194	71,761	139,639	49,038	49,121
Gross profit	3,331	3,447	4,314	6,232	8,386	10,850	12,388	16,870	36,034	14,597	15,999
Operating profit	1,154	719	1,259	3,280	4,827	6,306	7,421	10,823	27,556	12,019	13,478
Pretax profit	1,267	1,031	1,494	2,933	4,768	6,489	8,025	12,352	28,786	11,979	13,935
Net income	887	711	958	1,916	2,901	4,162	5,305	8,172	19,186	7,916	9,567
EPS (NT\$)	2.5	2.0	2.7	5.4	8.2	11.8	14.1	21.2	49.2	20.29	24.52
Margin %											
Gross margin	12.3%	11.9%	11.8%	15.7%	17.7%	19.4%	20.9%	23.5%	25.8%	29.8%	32.6%
Operating margin	4.3%	2.5%	3.4%	8.3%	10.2%	11.3%	12.5%	15.1%	19.7%	24.5%	27.4%
Pre-tax margin	4.7%	3.5%	4.1%	7.4%	10.1%	11.6%	13.6%	17.2%	20.6%	24.4%	28.4%
Net margin	3.3%	2.4%	2.6%	4.8%	6.1%	7.4%	9.0%	11.4%	13.7%	16.1%	19.5%

Source: BofA Global Research, TEJ, company data

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Exhibit 5: AVC's historical P/E trading average since 2020 is 11x

AVC's P/E trend and -1/+1 standard deviation since 2020

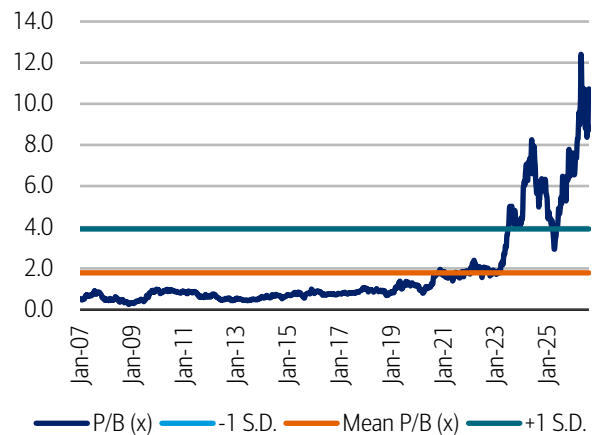


Source: BofA Global Research estimates, TEJ, Bloomberg

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Exhibit 6: AVC's historical P/B trading average since 2005 is 1.8x

AVC's P/B trend and -1/+1 standard deviation since 2005



Source: BofA Global Research estimates, TEJ, Bloomberg

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Exhibit 5: We model 2026-28E sales/net income CAGR at 30%/31%

Quarterly earnings summary, 2025-28E

NT\$mnn	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E
Sales	49,038	49,121	57,107	67,722	69,009	72,120	79,516	87,713	87,232	90,053	96,883	103,848	139,639	222,988	308,358	378,016
Gross profit	14,597	15,999	18,834	22,533	22,277	23,388	26,061	28,905	28,744	29,716	32,274	34,719	36,034	71,963	100,631	125,453
Operating profit	12,019	13,478	15,693	18,741	17,999	18,988	21,290	23,774	23,335	24,133	26,461	28,800	27,556	59,930	82,051	102,729
Pretax profit	11,979	13,935	15,876	18,949	18,208	19,227	21,500	23,991	23,554	24,354	26,678	29,018	28,786	60,739	82,926	103,604
Net income	7,916	9,567	10,551	12,918	12,371	13,020	14,403	16,393	15,977	16,457	17,774	19,538	19,186	40,952	56,186	69,746
EPS (NT\$)	20.29	24.52	27.04	33.10	31.70	33.37	36.91	42.01	40.94	42.17	45.55	50.07	49.17	104.95	143.99	178.74
Margin %																
Gross margin	29.8%	32.6%	33.0%	33.3%	32.3%	32.4%	32.8%	33.0%	33.0%	33.0%	33.3%	33.4%	25.8%	32.3%	32.6%	33.2%
Operating margin	24.5%	27.4%	27.5%	27.7%	26.1%	26.3%	26.8%	27.1%	26.8%	26.8%	27.3%	27.7%	19.7%	26.9%	26.6%	27.2%
Pretax margin	24.4%	28.4%	27.8%	28.0%	26.4%	26.7%	27.0%	27.4%	27.0%	27.0%	27.5%	27.9%	20.6%	27.2%	26.9%	27.4%
Net margin	16.1%	19.5%	18.5%	19.1%	17.9%	18.1%	18.1%	18.7%	18.3%	18.3%	18.3%	18.8%	13.7%	18.4%	18.2%	18.5%
QoQ %																
Sales	3%	0%	16%	19%	2%	5%	10%	10%	-1%	3%	8%	7%				
Gross profit	16%	10%	18%	20%	-1%	5%	11%	11%	-1%	3%	9%	8%				
Operating profit	20%	12%	16%	19%	-4%	5%	12%	12%	-2%	3%	10%	9%				
Pretax profit	19%	16%	14%	19%	-4%	6%	12%	12%	-2%	3%	10%	9%				
Net income	19%	21%	10%	22%	-4%	5%	11%	14%	-3%	3%	8%	10%				
YoY %																
Sales	110%	66%	47%	42%	41%	47%	39%	30%	26%	25%	22%	18%	95%	60%	38%	23%
Gross profit	142%	121%	85%	79%	53%	46%	38%	28%	29%	27%	24%	20%	114%	100%	40%	25%
Operating profit	176%	165%	94%	87%	50%	41%	36%	27%	30%	27%	24%	21%	155%	117%	37%	25%
Pretax profit	159%	136%	93%	88%	52%	38%	35%	27%	29%	27%	24%	21%	133%	111%	37%	25%
Net income	146%	139%	98%	95%	56%	36%	36%	27%	29%	26%	23%	19%	135%	113%	37%	24%

Source: BofA Global Research estimates, company data

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Exhibit 8: Acronyms

Acronyms used throughout the report

Acronym		Acronym		Acronym	
AI	Artificial Intelligence	EPS	Earnings Per Share	OPM	Operating Profit Margin
ASIC	Application-Specific Integrated Circuit	FX	Foreign Exchange	P/B	Price to Book
ASP	Average Selling Price	GM	Gross Margin	P/E	Price to Earnings
AWS	Amazon Web Services	GPU	Graphic Processing Unit	PC	Personal Computer
CAGR	Compound Annual Growth Rate	Mgmt.	Management	PO	Price Objective
Capex	Capital Expenditure	Non-op.	Non-operating	RHS	Right Hand Side
CDU	Coolant Distribution Unit	NVDA	Nvidia (NVDA US)	RMB	Renminbi (Chinese Yuan)
Cons	Consensus	NP	Net Profit	SD	Standard Deviation
CSP	Cloud Service Provider	NTD / NT\$	New Taiwan Dollars	USD / US\$	US Dollars
Diff.	Difference	OP	Operating Profit	VR	Vera Rubin

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk

Asia Vital Components (AVMPF)

Our PO of NT\$3,888 is based on 27x 2027E EPS. We use 27x P/E multiple (3SD above P/E average since 2020) in view of AVC's double-digit sales/EPS CAGR in 2026-28E. We believe AVC's leading position in thermal/cooling component market and strong AI market demand will drive rising liquid cooling sales mix and ASP/margin increase.

Upside risks to our PO are: (1) stronger demand in AI server, server, PC, smartphone, (2) better operating leverage with larger revenue scale, (3) less intensive competition, (4) faster product certification, (5) faster capacity expansion, (6) favorable FX movement (USD/RMB and/or USD/NTD) to help on GM and/or non-operating items.

Downside risks to our PO are: (1) softer AI server demand due to GPU/component shortage, (2) weaker server/PC/smartphone market demand amid inflation/macro uncertainties, (3) GM pressure due to higher material/labor/utility cost, (4) more intensive competition, (5) delayed product certification, (6) slower capacity expansion, (7) unfavorable FX movement (USD/RMB and/or USD/NTD) to weigh on GM and/or non-operating items.

Analyst Certification

I, Doris Kao, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	AAC Technologies	AACAF	2018 HK	Katherine Zhu
	Advantech	ADTEF	2395 TT	Robert Cheng



APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Asia Vital Components	AVMPF	3017 TT	Doris Kao
	BizLink	BIZLF	3665 TT	Doris Kao
	Chenbro	CEOMF	8210 TT	Doris Kao
	Cowell	CWLLF	1415 HK	Katherine Zhu
	Crystal-Optech	XMKAF	002273 CH	Katherine Zhu
	Delta Electronics (Thailand)	XLETF	DELTA TB	Suppamong Iemkongaek, CFA, CMT
	Delta Electronics Inc.	DLTEF	2308 TT	Robert Cheng
	Duksan Neolux	XDSXF	213420 KS	Simon Woo, CFA
	Dynamic Holding	XLHCF	3715 TT	Mike Yang
	E Ink Holdings	PVWIF	8069 TT	Doris Kao
	Elite Material	ETMCF	2383 TT	Mike Yang
	Foxconn Industrial Internet	XDAZF	601138 CH	Robert Cheng
	Goertek	XGKCF	002241 CH	Katherine Zhu
	Gold Circuit	GOCCF	2368 TT	Doris Kao
	Hana Microelectronics	XHNNF	HANA TB	Suppamong Iemkongaek, CFA, CMT
	Hon Hai Precision Industry	HNHAF	2317 TT	Robert Cheng
	Huaqin	XHUAF	603296 CH	Katherine Zhu
	Huaqin	XPEZF	3296 HK	Katherine Zhu
	ISU Petasys	IPTYF	007660 KS	Matt Shin
	Jentech	XVFSF	3653 TT	Doris Kao
	King Slide	KGSLF	2059 TT	Doris Kao
	Kingboard Laminates	KGBLF	1888 HK	Katherine Zhu
	Kinsus	KNSUF	3189 TT	Mike Yang
	Largan Precision	LGANF	3008 TT	Robert Cheng
	Lens Tech	XLTVF	6613 HK	Katherine Zhu
	LG CNS	XLGLF	064400 KS	Simon Woo, CFA
	LG Electronics	LGEAF	066570 KS	Simon Woo, CFA
	LG Innotek	XLGQF	011070 KS	Simon Woo, CFA
	Lotes	ZYZTF	3533 TT	Doris Kao
	Luxshare	XNJQF	002475 CH	Robert Cheng
	Netweb Technologies	XNTZF	NETWEB IN	Jatin Kalra, CFA
	NYPCB	NANYF	8046 TT	Mike Yang
	Quanta Computer	QUCPF	2382 TT	Robert Cheng
	Samsung Electro-Mechanics	SMSGF	009150 KS	Simon Woo, CFA
	Samsung SDI	SSDIF	006400 KS	Simon Woo, CFA
	Samsung SDS	XWPBF	018260 KS	Simon Woo, CFA
	Shennan Circuits	XAMKF	002916 CH	Katherine Zhu
	Taiwan Union Technology Corporation	TWUNF	6274 TT	Mike Yang
	Unimicron	UMCRF	3037 TT	Mike Yang
	Universal Display	OLED	OLED US	Simon Woo, CFA
	Victory Giant	XENEF	300476 CH	Katherine Zhu
	Wistron	WICOF	3231 TT	Doris Kao
	Wiwynn	XWIQF	6669 TT	Robert Cheng
	Xiaomi Corporation	XIACF	1810 HK	Robert Cheng
	Yageo	YGEQF	2327 TT	Robert Cheng
	Zhen Ding Tech	XFAGF	4958 TT	Doris Kao
	Zhongji Innolight	XZICF	300308 CH	Katherine Zhu
	ZTE Corporation	SHZZF	000063 CH	Katherine Zhu
	ZTE Corporation	ZTCOF	763 HK	Katherine Zhu
NEUTRAL				
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	Auras Technology	AUTCF	3324 TT	Doris Kao
	BYD Electronic	BYDIF	285 HK	Katherine Zhu
	DS Precision	XBASF	002384 CH	Katherine Zhu
	Lenovo Group	LNVGf	992 HK	Robert Cheng
	Lenovo Group	LNVGy	LNVGy US	Robert Cheng
	Lite-On Tech	LOTZF	2301 TT	Doris Kao
	Sunny Optical	SNPTF	2382 HK	Katherine Zhu
UNDERPERFORM				
	Acer	ASIYF	2353 TT	Robert Cheng
	Catcher Tech	CHERF	2474 TT	Robert Cheng
	Compal Electron	XLCPF	2324 TT	Doris Kao
	Everwin Precision	XSHZF	300115 CH	Katherine Zhu
	Genius Electronic Optical	GNSEF	3406 TT	Robert Cheng

APR - Technology Hardware Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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	LG Display	LPHLF	034220 KS	Simon Woo, CFA
	LG Display-ADR	LPL	LPL US	Simon Woo, CFA
	Lianchuang Electronic	XWOF	002036 CH	Katherine Zhu
	Pegatron	PGTRF	4938 TT	Robert Cheng
	Sanan Opto	XEQYF	600703 CH	Katherine Zhu
	Seoul Semiconductor	SLSOF	046890 KS	Simon Woo, CFA
	Shengyi	DGUNF	600183 CH	Mike Yang
	Sunway Communications	XWSVF	300136 CH	Katherine Zhu
	Transsion	XCINF	688036 CH	Robert Cheng

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity
Operating Margin
Earnings Growth
Free Cash Flow

Quality of Earnings

Cash Realization Ratio
Asset Replacement Ratio
Tax Rate
Net Debt-To-Equity Ratio
Interest Cover

Valuation Toolkit

Price / Earnings Ratio
Price / Book Value
Dividend Yield
Free Cash Flow Yield
Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income
Operating Profit
Expected 5 Year CAGR From Latest Actual
Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations
Capex
Tax Charge
Net Debt = Total Debt – Cash & Equivalents
EBIT

Numerator

Current Share Price
Current Share Price
Annualised Declared Cash Dividend
Cash Flow From Operations – Total Capex
EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities
Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill
Amortization
Shareholders' Equity
Sales
N/A
N/A

Denominator

Net Income
Depreciation
Pre-Tax Income
Total Equity
Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)
Shareholders' Equity / Current Basic Shares
Current Share Price
Market Cap = Current Share Price × Current Basic Shares
Sales
Basic EBIT + Depreciation + Amortization

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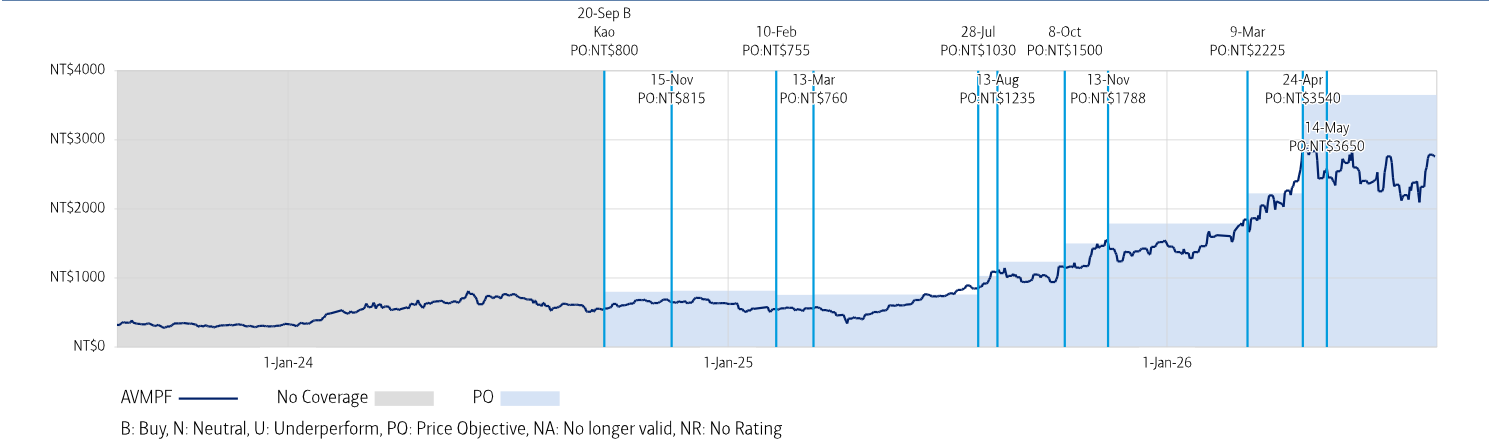
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Asia Vital Component (AVMPF) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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